SCHEDULE DBP-E

EMERGENCY DEMAND BIDDING PROGRAM N

APPLICABILITY

The Emergency Demand Bidding Program (DBP-E) is a demand/energy bidding program that offers incentives to non-residential customers for reducing energy consumption and demand during a specific Emergency Demand Bidding Event described in the Special Conditions below. N

TERRITORY

Within the entire territory served by the Utility.

RATES

DBP-E Incentive: Day of market price or $.50 per kWh of Actual Demand Reduction, whichever is greater.
DBP-E Test Incentive: $0.35 per kWh of Actual Demand Reduction.

Pursuant to the provisions of Special Condition 12, the DBP-E Incentive Payment for customers who purchase commodity from the Utility (bundled customers) is calculated by multiplying the customer's Actual Demand Reduction by the DBP-E Incentive for a customer's accepted bid for an Emergency Demand Bidding Event.

The DBP-E Incentive Payment for customers who purchase commodity from an Energy Service Provider or Community Choice Aggregator (Direct Access or CCA customers) shall be calculated by the Utility deducting the corresponding California Independent System Operator (CAISO) hourly ex-post zonal average energy price for SP15, as posted on the event day, from the DBP incentive for a customer's accepted bid for an Emergency Demand Bidding Event. In no case will the customer be required to pay the Utility if the ex-post price is greater than the DBP incentive. If the ex-post price is greater than the DBP-E program incentive, SDG&E will pay zero for each corresponding hour.

The Utility will provide the DBP-E Incentive Payment as an adjustment to the customer's regular monthly bill, within 90 days of the Emergency Demand Bidding Event. SDG&E will make DBP Incentive Payments only for those hours of Accepted Demand Reduction, as set forth in Special Condition 12.

SPECIAL CONDITIONS

1. Definitions: The definitions of terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Qualifying Customer: To participate in DBP-E, non-residential customers must be served under a time-of-use (TOU) rate and have an annual maximum demand of 20 kW or greater, and be able to reduce a minimum of 10 percent of the average monthly maximum demand over the previous twelve (12) months. This Schedule is applicable, in combination with the customer's otherwise applicable tariff(s), on a voluntary basis, to bundled, Direct Access or CCA customers.

3. Program Operation:

   a. Emergency Demand Bidding Event. The Utility will declare a DBP-E event on the same day for a minimum of two consecutive hours. Customers may submit a single Demand Bid per Event. DBP-E events are limited to Monday through Friday, excluding holidays. N

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SPECIAL CONDITIONS (Continued) N

3. Program Operation: (Continued)

b. Demand Bid. A Demand Bid is the amount of kW per hour (kWh usage) that a customer commits to reduce for each hour of an Emergency Demand Bidding Event.
   i. For each hour of each Event, the customer must submit the customer's Demand Bid for a minimum demand reduction not less than 10% of the average monthly maximum demand over the previous twelve (12) months as shown in the customer's Demand Bidding Program Contract (Form 140-00100).
   ii. Each bid must be for a minimum of two (2) hours and each bid must be for consecutive hours during the Emergency Demand Bidding Event.

c. Participants must respond to at least 50% of the annual DBP-E events or be removed from the program.

d. Bid Submission. Customers shall submit a Demand Bid via the Utility's designated Internet website within 15 minutes of notification of bid solicitation, but no later than one hour.

e. Bid Evaluation. Unless a capacity level (megawatt quantity) is specified in the CAISO notification, the Utility will deem all qualified Demand Bids received by the deadline acceptable from customers. In evaluating late bids, the Utility will consider then-current conditions, including previous acceptance or rejection of timely bids submitted within the first hour.
   i. Bidding shall be accepted for non-holiday weekdays only.
   ii. Unless a capacity level (MW quantity) is specified in the CAISO or Utility event notification, the Utility will then evaluate the qualified bids received based on a first come, first served basis, taking bidder past performance and compliance into account, and accept or reject each bid. If preliminary meter data indicates that a customer is not entitled to receive compensation for the prior three consecutive DBP-E, such customer will thereafter be precluded from participating in the following two operations of the DBP-E.

f. Bid Acceptance/Rejection Notification. The Utility will notify the customer of bid acceptances or rejections within 15 minutes of the received bid, but no later than one hour after the bid solicitation.
   i. Notification of bid acceptances or rejections will be sent via electronic mail (e-mail) no later than one hour after bid solicitation. The Utility does not guarantee the reliability of the Internet site by which customers submit Demand Bids and receive information regarding this Schedule.

4. Program Triggers: An Emergency Demand Bidding Event can occur primarily during a system reliability emergency including a CAISO warning, a Stage 1 or pre-Stage 2, or local emergency as determined by SDG&E.

5. Program Availability: DBP-E is available year round. There is no limit to the number of Emergency Demand Bidding Events per month or per year.

6. Customer Specific Baseline: The Customer Specific Baseline is defined as the average consumption for the hours of 12 p.m.-8 p.m. for the three highest days from within the immediately preceding ten similar days prior to the event. The Customer Specific Baseline will exclude weekends, holidays, and days when a customer was paid to reduce load, when load reductions were requested, or when rotating outages were called. N

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SPECIAL CONDITIONS (Continued) N

7. Incentive/Energy Payment: The DBP-E Incentive for each Emergency Demand Bidding Event will be calculated by multiplying the DBP-E incentive by the customer's Actual Demand Reduction. Credits will only apply to the portion of the hourly Actual Demand Reduction that is reduced above the minimum bid. In no case will a customer receive a credit payment for a given hour if it does not meet, the minimum energy reduction threshold which shall not be less than 10 percent of the average monthly demand over the previous twelve (12) months.

8. Actual Demand Reduction: The Actual Demand Reduction equals the difference between the Customer Specific Baseline and the recorded hourly kWh consumption during a DBP-E event.

9. Event Notification/Communications: The Utility will notify the customer of DBP-E Event Acceptance or Rejection by e-mail, or other communication means specified by the Utility. Customer shall be responsible for the cost and maintenance to receive such communications and to send Demand Bids via the Internet. The Utility does not guarantee the reliability of the Internet site or e-mail system used for such communications.

10. Event Cancellation: In the case where the ISO cancels its Alert or Warning or more advanced CAISO Notice (Stage 1, 2 or 3 Emergency), the Utility will reject any bid that has not yet been accepted. Once a customer's Demand Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

11. Contract Requirement/Request for Service: As a condition precedent to commencing service on this Schedule, customer shall submit to the Utility a completed Demand Bidding Program Contract (Form 140-00100) and, if acceptable to the Utility, the Utility shall sign and return the Contract to the customer. A customer may not commence service on this Rate Schedule until the Utility has signed and returned the Form Contract to the customer.
    a. Contract Termination. Upon signing the Form Contract for Service on Schedule DBP-E, customer shall remain on the Rate Schedule until the Schedule is terminated or the customer submits its termination in writing to the Utility.
    b. Customers may choose to terminate the Contract at any time.
    c. Contract termination shall be effective five (5) days following Utility's receipt of customer's written termination.

12. Multiple Program Participation: A customer may participate simultaneously in the Emergency Demand Bidding Program (DBP-E) and CPP, CPP-E, the Rolling Blackout Reduction Program (RBRP), or Peak Day 20/20. However, under no circumstances will a customer taking service under the above listed rate schedules and this schedule receive more than one incentive payment for the same interrupted/curtailed load.

    a. For customers participating in DBP-E and CPP, the CPP event will take precedence and the customer will not be notified of the DBP-E event.

13. Termination of Schedule: This Schedule is in effect until modified or terminated in the rate design phase of the Utility's next general rate case or similar proceeding.

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SCHEDULE DBP-E

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EMERGENCY DEMAND BIDDING PROGRAM N

SPECIAL CONDITIONS (Continued) N

14. Metering Requirements: Customer's electric meter must be an interval data recorder with related telecommunications capability, compatible with the Utility's meter reading and telecommunications systems. If a customer meets the requirements of this tariff and does not have the correct metering equipment, the Utility will provide and install interval metering equipment and telecommunications systems at no cost to the customer.

    a. Metering equipment must be in operation for at least 10 similar days prior to participating in the program to establish a Customer Specific Baseline.

    b. For Direct Access and CCA customers, DBP compliance shall be determined from a telephone accessible electric revenue interval meter that can be read remotely by the Utility, and/or from alternative metering and telecommunications acceptable to the Utility. Direct Access customers are required to allow the Utility telecommunication access to its electric revenue meter for the purposes of determining DBP compliance.

15. Utility Testing: Customers are required to participate in no more than two (2) tests per year of the communications and responsiveness of customers to a DBP-E Request. During such a test the customer shall be responsible to curtail load consistent with the rest of the terms of this Rate Schedule. Test events shall be no longer than 4 hours. The incentive paid to participants shall be the product of their demand reduction and $0.35 per kWh per test event.

16. Utility Reporting: The Utility will provide the Commission with a monthly report on the economics of this Rate Schedule. The monthly report may contain information on individual customer performance. Customers on this tariff must agree to allow the Utility, the California Energy Commission (CEC) or its contracting agent to conduct a site visit for measurement and evaluation, and agree to complete any surveys needed to evaluate the DBP program. Furthermore, customer shall provide all load data and background information, under appropriate confidentiality protections needed to complete this evaluation. The data will also be made available to academic researchers, under appropriate confidentiality protections, to facilitate the understanding of demand response.

17. Failure to Reduce Energy: No financial penalties will be assessed under this Schedule for a customer's failure to comply or participate during a DBP-E Event.

    a. Non-compliance with a DBP-E event occurs if the customer's Demand Bid is accepted by the Utility and the customer fails to satisfy the energy reduction requirement necessary to earn the DBP incentive.

18. Emergency Generation Limitations: Customers may achieve energy reductions by operating back-up or onsite generation. The customer will be solely responsible for meeting all environmental and other regulatory requirements for the operation of such generation. Not withstanding all other applicable Utility Rules and Tariffs, customer may synchronize and operate its own standby generation in parallel with the electric system up to 60 cycles to minimize service interruption during the transfer of electric service between the Utility electric system and the customer's Emergency Standby Generation, such operation shall only occur during the period starting 15 minutes prior to and ending 15 minutes after a DBP-E event defined in this Schedule. Customer must receive approval of their interconnection plans from Utility prior to operation of their generator in parallel with Utility's system. In no Event shall the customer operate its own standby generation in parallel with the Utility electric system during Utility service interruptions. N

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EMERGENCY DEMAND BIDDING PROGRAM

SPECIAL CONDITIONS (Continued) N

18. Emergency Generation Limitations: (Continued)
Upon termination or expiration of the term of this Schedule or associated Form Contract, customer agrees to either 1) dismantle all equipment necessary for customer's own standby generation to synchronize and operate in parallel with the Utility electric system for the purpose of electric service transfer from the Utility electric system to the customer's own standby generation, or 2) purchase and install a generator output meter meeting Utility's standards and either comply with applicable tariffs or take service under a contract.

19. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the DBP-E schedule will be handled as provided for in the Utility's Rule 10, Disputes. N

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